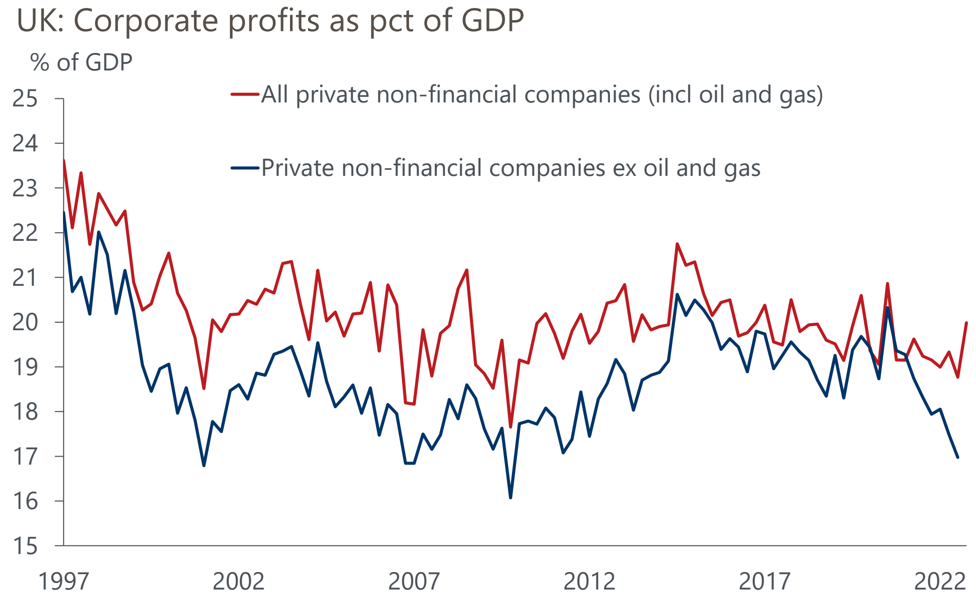
Research Briefing | UK

Greedflation – Myth and Reality

- **Greedflation – the claim that wider profit margins have pushed up overall inflation significantly – doesn't reflect the reality for the UK, in our view. Rather, the overwhelming majority of the rise in inflation reflects cost pressures from energy and other commodities, which have squeezed incomes for both households and most companies aside from oil and gas producers.**
- **In a few specific cases, company profit margins have risen, notably energy companies. But excluding oil and gas, non-financial companies' aggregate profits have fallen over the last year, and as a share of GDP are close to the lows of the last 25 years. In aggregate, profits have fallen relative to turnover for both manufacturing and service sector firms.**
- **With profits under pressure and financial conditions tightening, corporate cashflows have deteriorated, and companies' holdings of bank deposits are falling at the sharpest rate since 2008. The squeeze on cashflows is likely to prompt firms to cut back on investment and jobs, adding to the headwinds facing the economy.**
- **As the previous surge in prices for energy and other commodities fades, and with monetary policy now restrictive, headline and core inflation are set to fall sharply over the rest of this year.**

In the US, some evidence suggests that 'greedflation' is real – in other words that widening profit margins have contributed to the recent strength in inflation. But are the claims also true for the UK? We're not convinced. As the chart below shows, take out oil and gas, where profits have risen sharply, and the share of company profits in GDP has fallen markedly. Sure, it's possible to find individual cases of widening corporate profits, but these do not reflect the overall picture in our view.

Chart 1: Excluding energy, the profit share in UK GDP hasfallen close to record lows



Source: Oxford Economics/Haver Analytics

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Are higher profits to blame for the strength of inflation in the UK?

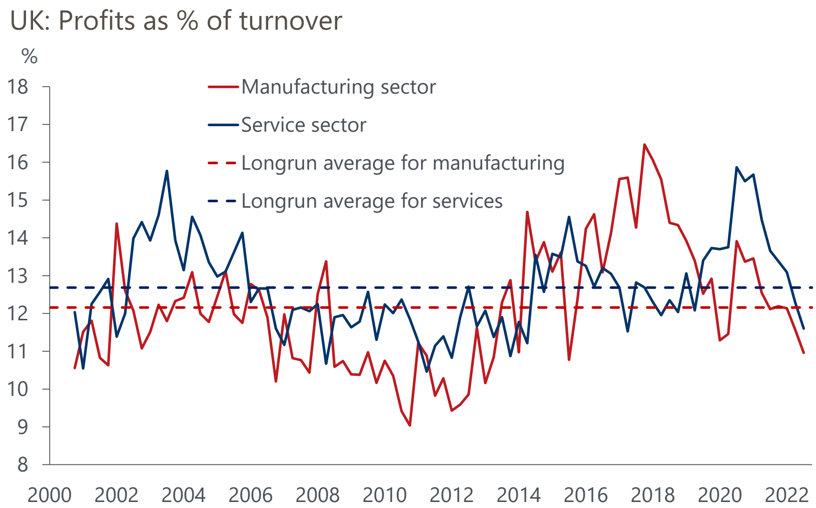
Persistent strength in core inflation (both non-energy goods and services) relative to pay growth makes it tempting to assume that profits of UK companies have been rising. In other words, if real household incomes are falling, then someone else must be gaining.

Certainly, in some sectors, company profits are doing fine. For example, profits of UK oil and gas companies rose 170% y/y in Q3 2022 (latest data) and were 15 times higher than two years earlier. Their profits have probably remained high since then. Meanwhile, many mobile phone contracts have price rises set at 3ppts-4ppts above recent inflation rates (either RPI or CPI). With charges up by well over 10% this year, most of which occurred in April, mobile phone service providers also may have reaped windfalls from the energy-induced rises in inflation. Similarly, water charges are linked to inflation and these also rose sharply in April.

In all, national accounts data show that aggregate non-financial company profits rose 14% y/y in Q4 2022 outpacing both inflation and nominal GDP. As a share of GDP, overall profits were slightly above their 20-year average. However, the aggregate profit data include the substantial gains for UK oil and gas companies. Excluding these, UK non-financial corporate profits in Q3-2022 (latest data) reached their lowest as a share of GDP since 2009, and fell over the last year.

Clearly, the exceptional price rises of a few companies do not reflect the general pattern, with profits of both manufacturing and service sector firms falling as a share of turnover and aggregate GDP.

Chart 2: Profit margins are below average in both manufacturing and service sectors



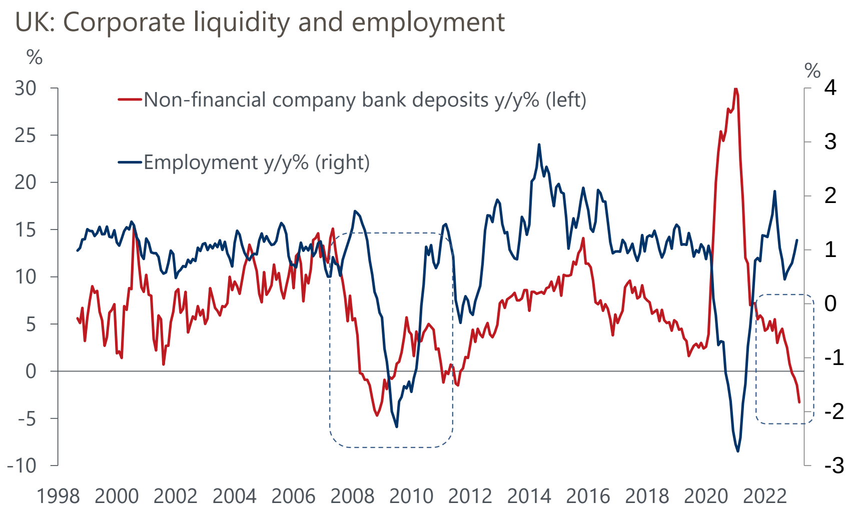
Source: Oxford Economics/Haver Analytics

Meanwhile, recent business surveys suggest that profits have weakened further in the last couple of quarters. For example, the BoE Agents report significant reductions in overall profit margins in both Q4-2022 and Q1 this year. Likewise, the quarterly CBI survey shows that a large net balance of service sector firms reported falling profits in recent quarters and a large net balance expect profits to fall further in the current quarter. On both surveys, recent figures are much worse than historic averages. The disaggregated split of the CBI survey shows worsening profit trends in all sectors in recent quarters apart from Telecoms, which may have benefited from the inflation-linked pricing contracts noted above.

At the same time as profits have been squeezed, tighter financial conditions also have led to a marked drop in the amounts raised by UK non-financial companies through capital issues and bank loans; indeed, net funds raised have been steeply negative over the last year. The combination of these factors has been reflected in a large decline in sterling bank deposits held by UK non-financial companies, which fell 3.3% y/y in March – a real drop of about 13% and the sharpest since 2008.

The reduction in companies' bank deposits is not a sign of deposit flight: over the last year, UK non-financial companies also cut their deposits in foreign banks and their holdings of foreign currency deposits. Rather, it's a symptom of worsening cashflow and tightening financial conditions. In previous cycles, a significant drop in companies' bank deposits usually has been reflected in cuts to jobs and capex, and the same may well occur this time.

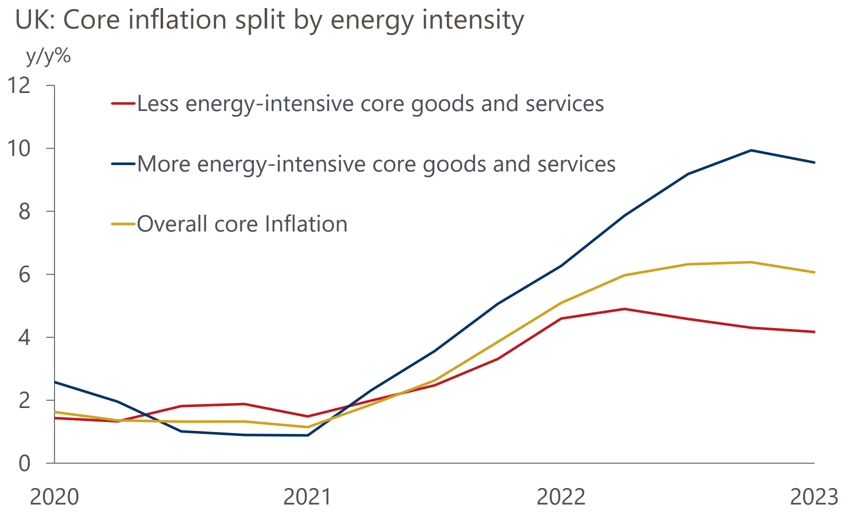
Chart 3: Worsening corporate liquidity is a warning sign for employment



Source: Oxford Economics/Haver Analytics

Rather than widening margins, much of the recent strength in core and services inflation reflects indirect effects from last year's surge in energy prices, which lifted firms' costs and has been feeding through to a wide range of prices with a lag of one or two quarters. Chart 4 shows the split of core CPI inflation (quarterly averages) between items that are highly energy-intensive and those that are less energy-intensive, including the use of energy in their inputs. The spread highlights the extent to which energy prices have played a significant role in core inflation, with large impacts on both services and core goods prices.

Chart 4: Recent strength in inflation owes a lot to higher energy prices



Source: Oxford Economics/Haver Analytics

What about food prices?

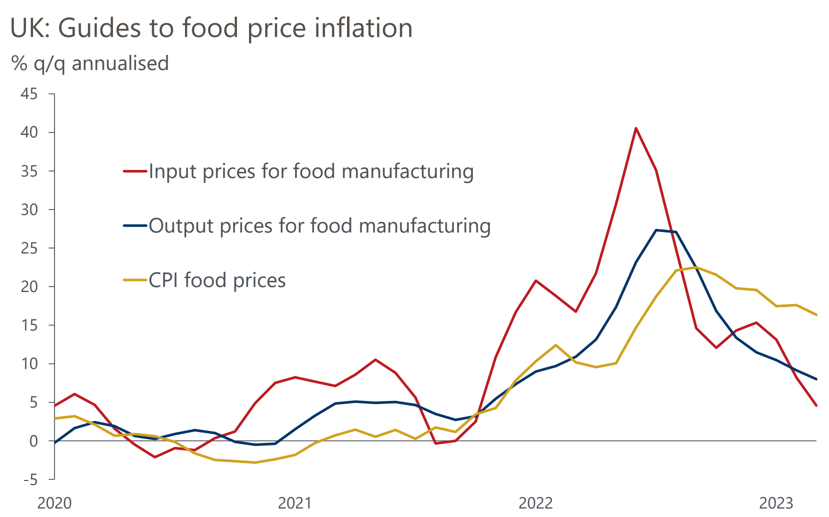
Public concern over greedflation has focused particularly on food prices, which (in the CPI) have risen by nearly 20% over the last year, the biggest rise for several decades. However, the bulk of UK food price inflation reflects cost increases from the international surge in prices for agricultural commodities and energy, rather than higher profits among UK food manufacturers and retailers.

Over the last two years, input prices for UK food manufacturers have risen by 29%, and prices for imported foods are up 43%. With a lag, that surge in cost pressures, and higher energy costs, has pushed up CPI food price inflation, and CPI food prices have risen by 27% over the same period.

Recently, agricultural commodity prices have fallen back and food input price inflation has slowed. As yet, this has not been reflected in lower CPI food inflation. But this probably reflects the usual lags rather than profiteering.

The BRC index suggests that inflation for fresh foods edged down in March and fell further in April. Barring a new surge in commodity prices, CPI food price inflation is likely to fall sharply over the rest of this year. Swings in milk prices are an example of the severity of these cost pressures and the lags. Wholesale (i.e., farmgate) prices rose by 71% from June 2021 to December 2022, but fell by 11% from December to March this year. CPI milk prices rose 66% y/y between June 2021 and March this year, but press reports suggest that prices have since fallen back a bit.

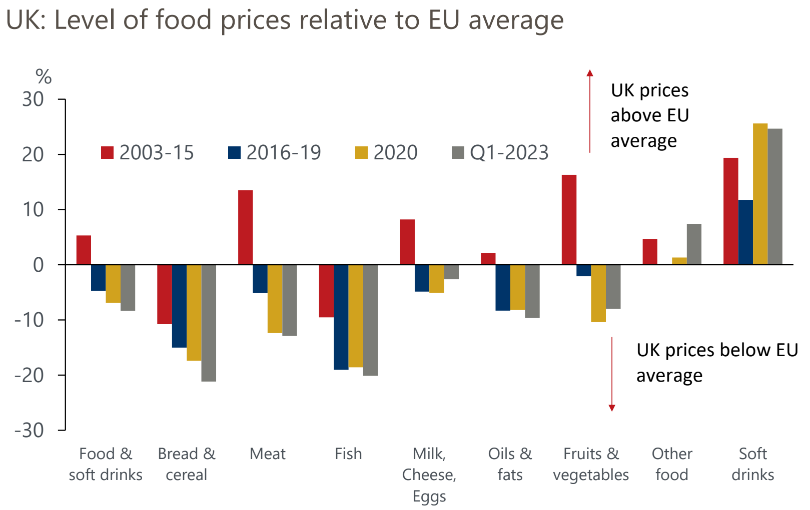
Chart 5: CPI food price inflation is likely to slow sharply over the rest of this year



Source: Oxford Economics/Haver Analytics

UK food retailing remains highly competitive, with the lowest-price firms Aldi and Lidl gaining market share markedly. Indeed, UK food price levels are relatively low compared to other major European countries. Eurostat figures show that over 2003-2015, UK prices for food (including soft drinks) on average were about 5% above the EU-27 average. Since then, however, the UK's relative price level has fallen due to the combination of a weaker pound and relatively low food price inflation in the UK, and in 2020 the UK price level for food and soft drinks was about 7% below the EU average.

Chart 6: Food prices in the UK are a bit below the EU average



Source: Oxford Economics/Haver Analytics

Taking into account changes in exchange rates and prices since then, we estimate this disparity was similar in Q1 this year. Among food categories, the UK price level is especially low for bread, meat, and fish, while soft drinks prices in the UK are relatively high. While a range of factors affect relative price levels, including transport costs and taxes, in our view it's hard to see these figures as indicating excess profits in UK food retailing.

As an aside, the overall UK price level for consumer goods is similar to the EU average, which is not surprising given many consumer goods are imported. The UK price level for consumer services is well above the EU average, especially for housing, health, education, and transport.

Why does all this matter?

The outlook for the economy would be very different if, for a given path of high inflation and falling real wages, corporate profits were rising sharply. To put it simply, a scenario of profit-driven inflation is more likely to be self-sustaining for a given path of monetary policy. One in which both real wages and profits are weak with inflation driven by external cost pressures, however, is likely to be self-correcting to an extent, provided inflation expectations are not persistently elevated.

If the recent strength in inflation was accompanied by buoyant profits, then to some extent the weakness in real wages would represent a transfer of incomes and spending power from workers to companies within the UK. So, while weakness in real incomes would hit consumer spending, the rise in profits would help to support activity, through increased spending on investment and employment, or through higher dividend payments and rising equity prices. In turn, this would sustain job growth and eventually feed through to a recovery in real wages. In this case, it might take substantially more monetary tightening to slow activity enough to bring inflation back to a target-consistent pace.

Conversely, if high inflation is generating a squeeze on profits as well as falling real wages, as in the UK recently, then the drag on activity from weakness in real incomes is likely to be exacerbated by cost-cutting as firms shed jobs and lower investment to restore profits. In this case, the ensuing weakness in activity is likely to be greater and more prolonged than in a case of buoyant profits, thereby creating disinflationary pressures that will help bring inflation substantially lower, again provided inflation expectations are contained.

The first scenario would probably be more likely when inflation is driven chiefly by excess demand. Arguably this is the case for the US now. The signs are that the UK falls in the 'squeeze on both profits and incomes' category, which is perhaps not surprising given that the UK has faced a major external cost shock from energy and other commodities.

Consequently, with both real wages and profits weak, we expect that UK economic activity will remain sluggish in coming quarters, and unemployment is likely to drift up further. At the same time, energy effects on headline and core inflation will diminish markedly. As a result, assuming wholesale energy prices follow the path implied by forwards, UK headline CPI inflation is likely to fall to about 3% y/y in Q4 this year, and will land close to the 2% target a year from now, i.e., Q2 next year. In terms of the impact for policymakers, while we can't rule out another final hike, we suspect the UK tightening cycle may now be over.